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China Auto Dealers | Asia Pacific

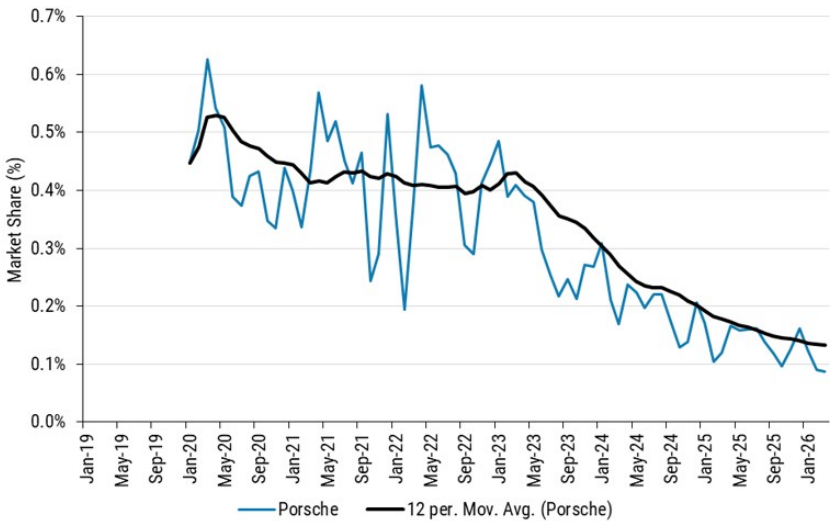
Real-time Feedback from Porsche Dealers

“Value over volume” worked initially: According to our checks, Porsche China dealers’ aggregate new car margin including rebates and commission incomes (i.e. GP3) improved YoY and QoQ in 1Q26, thanks to supply cuts as Porsche China sales volume fell 21% YoY in 1Q26. GP3 turned positive in 1Q26 from negative in 2H25.

Customized Panamera for China: Porsche launched Panamera Pure, a customized model for the China market in April, and the MSRP was set at Rmb998K+ (or US \$147K+), just under the 10% luxury car tax threshold. In addition, several add-on features are now offered as standard spec for free, such as 20-inch turbo wheels, matrix LED headlights, etc. Dealers we spoke to were optimistic on order intakes for the Panamera Pure.

Volumes and discounts up in 2Q26: Together with new model launches, Porsche dealers see a higher volume target in 2Q26, and will offer wider retail discounts to meet volume targets.

Exhibit 1: Porsche market share in China (%)



Source: Morgan Stanley Research

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CHINA AUTOS & SHARED MOBILITY	
Asia Pacific	In-Line
Industry View	

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(as of April 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/11/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb51.40
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$1.35
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$3.07
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb9.30
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb6.95
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.75
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb18.12
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb13.41
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb29.71
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb13.56
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$5.74
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb35.66
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb90.65

Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb32.39
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb139.10
China MeiDong Auto Holdings Ltd (1268.HK)	E (01/08/2024)	HK\$1.00
China Yongda Automobiles Services (3669.HK)	E (08/13/2024)	HK\$1.01
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb31.70
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb59.40
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$64.00
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb104.47
Keboda (603786.SS)	O (01/17/2024)	Rmb56.75
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$40.96
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb9.40
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$5.29
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb28.93
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb66.96
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb16.61
Suzhou Recodeal Interconnect System (688800.SS)	U (09/27/2024)	Rmb127.73
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.59
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb51.21
Zhongsheng Group Holdings (0881.HK)	O (10/12/2021)	HK\$7.17
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb7.10
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb100.44
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$101.70
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$10.30
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$22.44
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb19.80
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$11.91
Hesai Group (HSAI.O)	O (07/28/2025)	US\$21.60
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$6.87
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$18.00
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$73.85
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$46.84
NIO Inc. (NIO.N)	O (08/26/2020)	US\$5.85
WeRide Inc (WRD.O)	O (11/19/2024)	US\$7.51
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$62.50
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$15.62

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.